

Olevel economics

Firms and production



By:-

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Firms and production

The demand for factors of production

The demand for product, Factors of production are not demanded for their own sake, but for what they can contribute to the production process. This gives rise to the idea of a derived demand and i.e. why the demand for factor of production is influenced by the demand for the product produced.

The price of different factors of production, just like any other price, is determined by the forces of demand and supply that will establish an equilibrium price of the different factors.

The availability of different factors of production, A market will not only establish an equilibrium price of the different factors of production, but will also establish an equilibrium quantity.

The productivity of different factors of production, It refers to the output produced per factor of production per period of time and the demand for the more productive (more efficient) factors will be greater than the demand for the less productive factors. For e.g. if capital is more productive than labour, firms will adopt capital intensive rather than labour intensive methods of production.

labour intensive and capital intensive production

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High proportion of labour is employed compared with the amount of capital used.

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In a country with a large population there will be many workers so labour will be cheap. Labour intensive production is advantageous for small firms that are too small to afford lots of capital equipment. However, output will be lower than that from a capital-intensive form of production. Workers may make mistakes or engage in industrial action.

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High proportion of capital is employed in the production process compared with the amount of labour used.

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Production is likely to be on a large scale, allowing for high levels of automation. The production process is more efficient, unaffected by human error or industrial action. There is a lower unit cost for a large output. However, the initial cost of buying capital equipment can be high and there is an ongoing cost for maintenance. Over time the capital equipment will wear out and need to be replaced.

Production and Productivity

It refers to the process of making products. A product can be a good or service. Each stage of the production process adds value to the good or service being produced.

Influences on production

- * Production can be increased by employing more factors, if the factors of production are available
- * Production can also be increased by an improvement in the quality or productivity of factors
- * Natural factors, such as climate and soil, can increase production in agriculture
- * The discovery of new sources of coal, oil and gas is important to industries such as oil and gas extraction and refining
- * Advances in technology can lead to quicker and more efficient production methods
- * Improvements in the infrastructure, such as better transport facilities, can lead to greater output
- * Government policies can influence production, such as change in taxation or a change in policies on education and healthcare.

Productivity :- Whereas production refers to the total amount or the value of what has been produced, productivity refers to the output per factor of production per period of time. Productivity can be measured either through the physical output method, such as how many units have been produced per machine or per labour per hour, or through the revenue output method, the money value of the output per machines or per labour per hour.

Influences on productivity

- * Improvements in technology can increase the productivity of factors of production
- * Improvements in education and training facilities can improve the skills of workers, making them more productive
- * The quality and quantity of raw materials available can influence levels of productivity
- * Effective management and organisation can improve the productivity of land, labour and capital by increasing output per input per period of time
- * The culture of a firm can influence productivity, such as the use of 'Kaizen', or continuous small improvements, in Japanese firms.

Questions

Marks: 24

- Q1 Define labour intensive and state its advantages and disadvantages? 4
- Q2 Define capital intensive and state its advantages and disadvantages? 4
- Q3 Define production and explain its influences / factors? 8
- Q4 Define productivity and explain its influences / factors? 8